

life; and second, if you are still working, you have only a few years to replace those losses from savings.

Very simply, whatever a person's age is, that is the allocation he or she should have in bonds. The remainder of his or her portfolio would be invested in riskier assets such as stocks. For example, a 55-year-old may have 55 percent of savings in bonds and the rest in a diversified stock portfolio. This allocation would change every year or every few years as the investor ages.

The concept of age in bonds has the appeal of simplicity. It is easy to understand and appears to solve a difficult financial planning question about asset allocation. However, is it practical to apply this rule of thumb to all investors? No, it is not. Let's look at two age groups: 30-year-olds and 55-year-olds. We are going to test how well "your age in bonds" works for each of these groups.

Most 30-year-olds are still at the beginning of their careers or perhaps making their first career change. They all have many years of work and savings ahead. Thirty-year-olds typically have very little in savings, which means that the market gyrations have only a minor impact on their net worth. Accordingly, 30-year-olds should concentrate more on formulating a regular savings plan, and whatever money they do save should be largely invested in equity as long as the allocation does not exceed their tolerance for risk. Consequently, 70 percent in equity and 30 percent "your age in bonds" works fine for most 30-year-olds.

The range of financial situations for people at the age of 55 is much broader than when they were 30 years old. There are 55-year-olds who have accumulated significant wealth, while others have accumulated very little. Some people are close to vesting in an employer pension, while others are relying 100 percent on their own savings for retirement. Family status is quite diverse also. Some people are married, others divorced, others remarried, and still others never married. There are those caring for large families, some with small families, some with no family, and some with extended families including helping out aging parents or other relatives. Consequently, there is no typical 55-year-old. Their situations are all unique, and their asset allocation needs to take into account a host of life situation variables.